FIRST-PASS DILIGENCE MEMO

AeroVironment

Company	AeroVironment (Delaware corporation, headquartered in Arlington, VA) (p. PDF 1)
Ticker / Status	NASDAQ: AVAV (public) (p. PDF 1)
Source document	Annual report (Form 10-K) for fiscal year ended April 30, 2026; auditor report dated June 29, 2026 (pp. 50, 129)
Fiscal period covered	Fiscal year ended April 30, 2026 (pp. 64, 65)
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1. Executive Summary

- **Business in one sentence:** AeroVironment designs, produces and supports autonomous systems, precision strike, counter-UAS (C-UAS), space-based platforms, directed energy, and cyber/EW capabilities, primarily for the DoD, other federal agencies and allied governments (p. 85).
- **Scale:** FY2026 revenue was $1,976.8 million, total segment Adjusted EBITDA was $286.1 million, and GAAP operating loss was $(311.0) million (p. 65).
- **Key positives:**
  - The underlying business is growing. Calculated organic growth was 26.4% against reported growth of 140.9%, and legacy product revenue rose $196.6 million on LMS, MacCready Works and MUAS demand (calc.; pp. 66, 81, 116, 118).
  - Margins in the core AxS segment expanded. Calculated AxS segment Adjusted EBITDA margin was 21.3% in FY2026 versus 17.8% in FY2025 (calc.; pp. 65, 123).
  - The capital structure is low-cost. The only debt is $747.5 million of 0% convertible notes due 2030; calculated net leverage is 0.40x and liquidity is $969.1 million (calc.; pp. 35, 36, 65, 80, 84, 104, 105).
- **Key concerns:**
  - Cash conversion is deeply negative. Calculated FCF was $(140.9) million, or -49.3% of Adj. EBITDA, after -14.2% in FY2025 and -6.0% in FY2024 (calc.; pp. 65, 66, 84).
  - Add-backs are heavy. Calculated add-backs of $332.0 million bridge a GAAP EBITDA of $(46.0) million to Adj. EBITDA; excluding the impairment, add-backs still equal 31.9% of Adj. EBITDA (calc.; pp. 65, 81, 84, 118).
  - *(uncited statement removed; see citation_log.md)*
    - Deloitte issued an adverse ICFR opinion (p. 129).
    - The company restated its 10-Q for the quarter ended January 31, 2026 (p. 128).
    - Termination of the Space Force SCAR contract drove a $240.7 million goodwill impairment (p. 67).
    - SCDE segment Adjusted EBITDA was $(2.6) million (p. 68).
- **Biggest open question:** What is normalized cash conversion of the combined business? Specifically, how much of the FY2026 receivables, unbilled and inventory build reverses, and what does SCDE earn at steady state (calc.; pp. 65, 68, 72, 84)?

2. Business Overview

- **Segments:** Effective May 1, 2025, in connection with the BlueHalo acquisition, the company reports two segments: Autonomous Systems (AxS) and Space, Cyber and Directed Energy (SCDE) (p. 3).
  - FY2026 segment revenue was $1,358.1 million for AxS and $618.8 million for SCDE; percentage split not disclosed (p. 65).
  - AxS: Uncrewed Aircraft Systems $363.9 million, Precision Strike and Defense Systems $848.3 million, Other $145.9 million in FY2026 (p. 94).
  - SCDE: Space and Directed Energy $273.4 million and Cyber and Mission Solutions $345.4 million in FY2026, with no revenue in prior years (p. 94).
  - Precision Strike includes the Switchblade 300/400/600 loitering munitions, Blackwing, Red Dragon and Mayhem 10 (p. 4).
  - IAMD includes the Titan RF counter-UAS family and the FE-1 kinetic interceptor (p. 4).
  - SCDE directed energy includes the LOCUST laser weapon systems (p. 6).
  - Effective May 1, 2026, Autonomous R&D moved into SCDE, which will affect segment comparability (p. 65).
- **Business model:**
  - Product sales were $1,415.3 million and contract services $561.5 million in FY2026, versus $692.7 million and $127.9 million in FY2025 (p. 81).
  - Management expects the service share of revenue to remain higher following BlueHalo (p. 66).
  - Over-time revenue recognition rose to 70% of revenue in FY2026 from 57% in FY2025 and 43% in FY2024 (p. 94).
  - Customer-funded R&D revenue was $240.9 million in FY2026 versus $78.5 million in FY2025 (p. 96).
  - A significant number of contracts typically run less than six months, which suggests a project/order-driven rather than recurring model (p. 61).
- **Geography and end markets:**
  - Domestic revenue was $1,420.4 million and international revenue $556.4 million in FY2026 (p. 94).
  - Non-U.S. share of revenue fell to 28% in FY2026 from 52% in FY2025 and 62% in FY2024 (p. 125).
  - International operations include Telerob in Stuttgart, Germany (UGV) and a business development office in Hampton Bishop, UK (p. 55).
  - Major leased U.S. sites are Simi Valley, CA (~280,000 sq ft), Albuquerque, NM (~200,000), Huntsville, AL (~150,000) and Moorpark, CA (~150,000) (p. 55).
- **Headcount:**
  - 3,991 full-time and 100 part-time employees as of April 30, 2026 (p. 10).
  - 2,366 employees in R&D and engineering, and over 208 held a PhD (p. 10).
  - Cleared headcount: Not disclosed.
- **Ownership and history:**
  - Incorporated in California in July 1971 and reincorporated in Delaware in 2006 (p. 14).
  - Serial acquirer: Arcturus and ISG (February 2021), Telerob (May 2021), Planck (August 2022), Tomahawk (September 2023), BlueHalo (May 2025) and ESAero (March 2026) (p. 32).
  - BlueHalo closed May 1, 2025 for merger consideration, net of cash acquired, of $3,484.9 million, including 17,425,849 shares (pp. 49, 78).
  - ESAero was acquired March 16, 2026 for an aggregate purchase price of $177.9 million (p. 115).
  - In July 2025 the company issued 4,057,460 shares at $248.00 per share, alongside $747.5 million of convertible notes (p. 35).
  - Entities affiliated with Arlington Capital Partners beneficially own about 26.3% of common stock (p. 48).
  - Both Arlington-nominated directors resigned effective June 17, 2026, with no replacements designated (p. 49).

- CFO transition: a retirement agreement with Kevin McDonnell is dated February 20, 2026 and an offer letter with Robert Smith is dated March 18, 2026 (p. 134).

3. Market & Competitive Position

- **Market size:** Not disclosed.
- **Named competitors:**
  - Loitering munitions: Textron, RTX, Lockheed Martin, Anduril, Aevex, SpektreWorks, Dragoon, Cummings Aerospace, Elbit and UVision (p. 9).
  - C-UAS and EW: Anduril, Boeing, Lockheed Martin, RTX, DroneShield, SRC, Polaris, CACI, Northrop Grumman and L3Harris (p. 9).
  - Space and directed energy: Boeing, Lockheed Martin, L3Harris, BAE Systems, nLIGHT, Epirus, EO Solutions, Huntington Ingalls and RTX (p. 9).
  - Cyber and mission solutions: L3Harris, Thales, Anduril, Sierra Nevada, Lockheed Martin, Booz Allen Hamilton and Leidos (p. 9).
  - UAS: Elbit, Quantum-Systems, Redwire, Teledyne, Shield AI, Northrop Grumman, Anduril, Airbus and Israeli Aircraft Industries, among others (p. 20).
- **Stated competitive advantages (management's view):**
  - Management believes no competitor matches the breadth and depth of its product lines or its core expertise (p. 9).
  - Management states BlueHalo added RF, phased array, space electronics, laser communication, EW, directed energy and cyber capabilities (p. 9).
  - IP and heritage: 407 U.S. patents and 64 pending applications, and over 260 space-qualified systems in orbit (pp. 6, 8).
  - Manufacturing: ISO 9001:2015 + AS9100D certified facilities capable of producing thousands of systems annually (p. 10).
  - Offsetting point: a significant portion of the technology is not patented, and the U.S. government holds licenses to IP developed under government contracts (p. 46).
- **Regulatory and policy exposure:**
  - **CMMC:** Failure to achieve the required certification would bar bidding on new DoD contracts containing CMMC clauses (p. 54).
  - **Cyber investigation:** In February 2026 the company opened an external-counsel-led investigation into Legacy AV's cybersecurity compliance and the accuracy of its SPRS information (p. 45).
  - **China:** China sanctioned the company in January 2024 and added it to its export control list in March 2025, while most rare earth metals used in its products come from China (p. 25).
  - **Budget and politics:** DOGE review of Pentagon spending makes funding of U.S. government programs uncertain (p. 17).
  - **Shutdown exposure:** Exposure to government shutdowns increased materially with BlueHalo (p. 18).
  - **Termination for convenience:** All U.S. government contracts are terminable at will, and the military funds part of its contracts through operational needs statements rather than programs of record (p. 18).
  - **C-UAS and domestic expansion:** RF and directed-energy C-UAS face stringent regulatory scrutiny, and non-military U.S. UAS/C-UAS expansion depends on FAA approvals (p. 43).

4. Customers, Contracts & Backlog

- **Top-customer concentration:**
  - The U.S. government accounted for 85%, 75% and 76% of revenue in FY2026, FY2025 and FY2024 (p. 87).
  - The U.S. Army alone accounted for 25%, 20% and 11% over the same years (p. 87).

  - Ukraine was $149.6 million (18%) of FY2025 revenue and $274.1 million of FY2024 revenue (p. 125).
  - No single foreign country exceeded 10% of FY2026 revenue (p. 8).
  - Top-10 customer concentration: Not disclosed.
- **Government exposure:**
  - The DoD accounted for about 63% of FY2026 revenue (p. 17).
  - U.S. government agencies held 76% of accounts receivable at April 30, 2026 (p. 87).
  - The company often acts as a subcontractor and expects to depend on prime contractors for a portion of revenue (p. 40).
  - Other U.S. government agencies and government subcontractors accounted for 47% of FY2026 revenue (p. 7).
  - Prime vs. sub revenue split: Not disclosed.
- **Contract type mix:**
  - FY2026: fixed-price 70.0%, cost-plus 23.0%, T&M 7.0% (calculated) (calc.; pp. 81, 94).
  - FY2025: fixed-price 90.9%, cost-plus 8.3%, T&M 0.8% (calculated) (calc.; pp. 81, 94).
  - The shift toward cost-plus is acquisition-driven. Management notes cost-plus margins are typically lower, so a shift toward cost-plus reduces operating margin (p. 26).
- **Backlog:**
  - Funded backlog was $1,183.0 million at April 30, 2026 versus $726.6 million a year earlier (p. 11).
  - Unfunded backlog was $1,457.7 million versus $774.6 million, with the increase primarily due to BlueHalo (p. 11).
  - Calculated total backlog of $2,640.7 million covers 1.34x revenue, down from 1.83x (calc.; pp. 11, 81).
  - Calculated funded backlog coverage fell to 0.60x from 0.89x (calc.; pp. 11, 81).
  - The coverage decline partly reflects a larger, shorter-cycle services revenue base after BlueHalo, so years are not directly comparable (pp. 61, 66).
  - About 85% of backlog is expected to convert to revenue in FY2027 (p. 11).
  - Remaining performance obligations were $1,176.2 million at April 30, 2026 (p. 92).
  - Unfunded backlog excludes unfunded IDIQ ceiling amounts (p. 11).
  - No individual contract exceeded 10% of funded backlog (p. 7).
  - Book-to-bill: Not disclosed.
- **Key contracts and recompetes:**
  - **SCAR termination:** The Space Force SCAR BADGER phased-array antenna OTA was stop-worked in January 2026 and terminated for convenience in March 2026 (p. 34).
  - **FMS stop-work:** An earlier stop-work order on FMF-funded foreign military sales contracts was later lifted, and further stop-work orders or cancellations are possible (p. 19).
  - **LMS revenue timing:** LMS revenue is recognized over time while the U.S. government is the only customer. It will shift to point-in-time once a direct commercial sale (DCS) contract is received, expected in FY2027 (p. 61).
  - **Loss contract:** One IAMD contract carried a forward loss reserve of $3.9 million at April 30, 2026 (p. 93).
  - Recompete and expiration schedule: Not disclosed.

5. Financial Summary

Financial summary

Metric ($ in millions)	FY2024	FY2025	FY2026
Revenue	716.7 (p. 81) ✓	820.6 (p. 81) ✓	1,976.8 (p. 81) ✓
Revenue growth % (calc.)	*n/a*	*14.5% (calc.; p. 81)*	*140.9% (calc.; p. 81)*
Gross profit	283.9 (p. 81) ✓	318.6 (p. 81) ✓	500.6 (p. 81) ✓
Gross margin % (calc.)	*39.6% (calc.; p. 81)*	*38.8% (calc.; p. 81)*	*25.3% (calc.; p. 81)*
Operating income (loss)	71.8 (p. 81) ✓	40.8 (p. 81) ✓	(311.0) (p. 81) ✓
EBITDA (as reported by company)	Not disclosed	Not disclosed	Not disclosed
Adjusted EBITDA (as reported by company)	127.8 (p. 66) ✓	146.4 (p. 65) ✓	286.1 (p. 65) ✓
D&A	35.7 (p. 84) ✓	41.0 (p. 84) ✓	265.0 (p. 84) ✓
Capex	23.0 (p. 84) ✓	19.5 (p. 84) †	62.5 (p. 84) ✓
Capex % of revenue (calc.)	*3.2% (calc.; pp. 81, 84)*	*2.4% (calc.; pp. 81, 84)*	*3.2% (calc.; pp. 81, 84)*
Backlog (total)	Not disclosed	Not disclosed	Not disclosed
Largest customer % of revenue	76.0% (p. 87) †	75.0% (p. 87) †	85.0% (p. 87) ✓

Cash conversion & earnings quality

Metric ($ in millions)	FY2024	FY2025	FY2026
Organic revenue growth % (calc.)	*n/a*	*n/a*	*26.4% (calc.; pp. 81, 116, 118)*
Operating cash flow	15.3 (p. 84) ✓	(1.3) (p. 84) ✓	(78.4) (p. 84) ✓
Free cash flow (OCF - capex) (calc.)	*(7.7) (calc.; p. 84)*	*(20.9) (calc.; p. 84)*	*(140.9) (calc.; p. 84)*
FCF / Adj. EBITDA (calc.)	*-6.0% (calc.; pp. 66, 84)*	*-14.2% (calc.; pp. 65, 84)*	*-49.3% (calc.; pp. 65, 84)*
GAAP EBITDA (op. income + D&A) (calc.)	*107.6 (calc.; pp. 81, 84)*	*81.8 (calc.; pp. 81, 84)*	*(46.0) (calc.; pp. 81, 84)*
Add-backs to reach Adj. EBITDA (calc.)	*20.2 (calc.; pp. 66, 81, 84)*	*64.6 (calc.; pp. 65, 81, 84)*	*332.0 (calc.; pp. 65, 81, 84)*
of which: goodwill impairment	Not disclosed	Not disclosed	240.7 (p. 118) ✓
Add-backs excl. impairment, % of Adj. EBITDA (calc.)	*n/a*	*n/a*	*31.9% (calc.; pp. 65, 81, 84, 118)*
DSO incl. unbilled, days (calc.)	*n/a*	*174 (calc.; pp. 80, 81)*	*164 (calc.; pp. 80, 81)*
DIO, days (calc.)	*n/a*	*105 (calc.; pp. 80, 81)*	*77 (calc.; pp. 80, 81)*

Balance sheet & liquidity (fiscal year end)

Metric ($ in millions)	FY2024	FY2025	FY2026
Total debt (principal)	Not disclosed	30.0 (p. 105) ✓ ⚠	747.5 (p. 105) ✓
Cash + short-term investments (calc.)	*73.3 (calc.; p. 84)*	*40.9 (calc.; p. 84)*	*632.3 (calc.; pp. 80, 84)*
Net debt (calc.)	*n/a*	*(10.9) (calc.; pp. 84, 105)*	*115.2 (calc.; pp. 80, 84, 105)*
Total debt / Adj. EBITDA (calc.)	*n/a*	*0.20x (calc.; pp. 65, 105)*	*2.61x (calc.; pp. 65, 105)*
Net debt / Adj. EBITDA (calc.)	*n/a*	*-0.07x (calc.; pp. 65, 84, 105)*	*0.40x (calc.; pp. 65, 80, 84, 105)*
Liquidity incl. undrawn revolver (calc.)	*n/a*	*201.5 (calc.; pp. 84, 104)*	*969.1 (calc.; pp. 80, 84, 104)*

Operating metrics

Metric ($ in millions, ratios as noted)	FY2024	FY2025	FY2026
Funded backlog / revenue (calc.)	*n/a*	*0.89x (calc.; pp. 11, 81)*	*0.60x (calc.; pp. 11, 81)*
Total backlog / revenue (calc.)	*n/a*	*1.83x (calc.; pp. 11, 81)*	*1.34x (calc.; pp. 11, 81)*
Capex / depreciation (calc.)	*1.34x (calc.; pp. 84, 103)*	*1.15x (calc.; pp. 84, 103)*	*1.75x (calc.; pp. 84, 103)*
Revenue per employee, $M (calc.)	*n/a*	*n/a*	*$0.50 (calc.; pp. 10, 81)*
Fixed-price % of revenue (calc.)	*88.5% (calc.; pp. 81, 94)*	*90.9% (calc.; pp. 81, 94)*	*70.0% (calc.; pp. 81, 94)*
Cost-plus % of revenue (calc.)	*10.8% (calc.; pp. 81, 94)*	*8.3% (calc.; pp. 81, 94)*	*23.0% (calc.; pp. 81, 94)*
T&M % of revenue (calc.)	*0.7% (calc.; pp. 81, 94)*	*0.8% (calc.; pp. 81, 94)*	*7.0% (calc.; pp. 81, 94)*
AxS Segment adjusted EBITDA margin % (calc.)	*17.8% (calc.; pp. 66, 124)*	*17.8% (calc.; pp. 65, 123)*	*21.3% (calc.; p. 65)*
SCDE Segment adjusted EBITDA margin % (calc.)	*n/a*	*n/a*	*-0.4% (calc.; p. 65)*

Table notes

- Cross-check: 41 of 69 sourced inputs match the same figure for the same year on at least one other page (✓). † = found on one page only; verify manually.
- Every (calc.) figure is computed by code from the cited inputs; formulas are listed in calcs.json.
- Method: Add-backs = company Adjusted EBITDA minus GAAP EBITDA (operating income + D&A). If the company's measure is segment-level, add-backs also include costs outside segment results (e.g. unallocated corporate).
- Method: Net debt treats short-term investments as cash.
- Method: No short-term investments found for FY2024; net debt uses cash only.
- Method: No short-term investments found for FY2025; net debt uses cash only.
- Method: Organic growth removes revenue contributed in the year by businesses acquired in that year, as the company discloses it; it does not adjust the prior year.
- Method: Total backlog = funded + unfunded as reported (the company does not report a total).
- Method: Total debt is principal as disclosed (excludes leases; convertible notes at principal).
- Method: Working-capital days use fiscal-year-end balances, not averages; balances acquired mid-year inflate days relative to a full-year average.
- ⚠ Total debt (principal) FY2025: F12-069 is dated 'as of April 30, 2026', not FY2025.
- Adjusted EBITDA slot uses total segment adjusted EBITDA (the company reports only a segment-level measure); FY2024 and FY2025 were all AxS. (pp. 65, 66)
- Acquisitions make years non-comparable: BlueHalo closed May 1, 2025 (incorporated into AxS and SCDE), ESAero acquired March 16, 2026, and Tomahawk acquired September 15, 2023. (pp. 115, 116, 118)
- FY2026 acquired revenue = BlueHalo revenue since acquisition of $919,144,000 plus ESAero revenue of $20,038,000; FY2024 acquired revenue is Tomahawk revenue of $15,883,000. (pp. 116, 118, 120)
- FY2026 total debt consists solely of $747.5 million principal of 0% convertible senior notes due 2030; the $700.0 million ter m loan was repaid in full. FY2025 debt was $30,000 thousand of revolving credit facility borrowings. (pp. 36, 71, 105)

- FY2026 goodwill impairment of $240,708,000 is disclosed within BlueHalo's loss from operations; Space reporting unit goodwill was approximately $291 million after impairment. (pp. 63, 118)
- Backlog total left empty: only funded and unfunded backlog components are reported; separately, remaining performance obligations were $1,176,192,000 at April 30, 2026. (pp. 11, 92)
- Capex is the cash flow statement purchase of property and equipment, excluding capitalized software to be sold of $(23,674) thousand in FY2026; segment-note capital expenditures of $86,218 thousand include it. (pp. 84, 125)
- Depreciation is PP&E depreciation expense from the property note; the segment note shows FY2026 depreciation of $41,897 thousand on a different basis, and intangible amortization was $203,984,000 in FY2026. (pp. 100, 103, 122)
- Employees are full-time only (3,991); the company also had 100 part-time employees. (p. 10)
- Largest customer is the U.S. government (agencies treated as one customer). (p. 87)

Commentary

- Reported FY2026 growth is dominated by BlueHalo: BlueHalo contributed $919.1 million of revenue since acquisition, and all SCDE revenue came from BlueHalo (pp. 68, 118).
- On a BlueHalo pro forma basis, revenue was $1,663.3 million in FY2025 versus $1,976.8 million in FY2026 (p. 118).
- Gross margin fell from 39% to 25% because of higher amortization and purchase accounting and a higher BlueHalo service mix (p. 66).
  - Cost of sales included $92.7 million of non-cash purchase accounting in FY2026, versus $19.4 million in FY2025 (p. 66).
  - Separately, legacy Switchblade mix added about $34 million to product cost (p. 66).
- The $(311.0) million FY2026 operating loss includes a $240.7 million Space goodwill impairment (p. 65).
- Total segment Adjusted EBITDA rose to $286.1 million from $146.4 million (p. 65).
  - All of the increase came from AxS ($288.7 million); SCDE was $(2.6) million (p. 65).
- FY2025 growth was driven by Switchblade revenue, up $164.7 million, partly offset by a $62.1 million drop in UxS deliveries tied to lower Ukraine sales (p. 68).

6. Quality of Earnings Flags

- **Adjusted EBITDA definition:** Segment Adjusted EBITDA is segment operating income before D&A, adjusted for the following items (p. 65):
  - goodwill impairment; (p. 65)
  - cloud computing implementation amortization; (p. 65)
  - stock-based compensation; (p. 65)
  - purchase accounting adjustments; (p. 65)
  - acquisition-related expenses; (p. 65)
  - "one-time" items such as legal expense. (p. 65)
- **FY2026 add-backs (as disclosed):**
  - D&A: $265.0 million, including $223.1 million of amortization (pp. 84, 122).
  - Goodwill impairment: $240.7 million (p. 65).
  - Acquisition-related expenses: $48.2 million (p. 122).
  - Stock-based compensation: $38.3 million (p. 122).
  - Cloud computing implementation amortization: $5.5 million (p. 122).
  - Equity securities activity: deducted $(11.7) million (p. 122).
  - Calculated total add-backs from GAAP EBITDA were $332.0 million (calc.; pp. 65, 81, 84).
  - Excluding the impairment, calculated add-backs equal 31.9% of Adj. EBITDA (calc.; pp. 65, 81, 84, 118).
  - The itemized add-backs above do not obviously tie to the calculated bridge, so a full reconciliation should be requested (calc.; pp. 65, 81, 84, 122).
- **FY2025 add-backs (as disclosed):**

  - Goodwill impairment $18.4 million, acquisition-related $19.3 million, SBC $21.5 million and legal $2.1 million (p. 123).
  - Calculated total add-backs were $64.6 million (calc.; pp. 65, 81, 84).
- **Recurring "acquisition" costs:** Acquisition-related expenses were added back in both FY2025 and FY2026, and cumulative BlueHalo acquisition and integration expenses reached about $64.2 million (pp. 118, 122, 123). Given the company's serial acquisition history, these look recurring rather than one-time (p. 32).
- **Capitalized costs that support EBITDA:**
  - Capitalized cloud computing costs rose to $46.2 million from $33.7 million; their amortization is added back (p. 88).
  - Capitalized software to be sold rose to $27.4 million from $3.3 million (p. 88).
- **One-time and non-recurring items:**
  - FY2026 included $11.7 million of realized gains on equity securities sales (p. 67).
  - FY2026 included $6.7 million of term-loan debt issuance costs expensed on repayment (p. 67).
  - FY2026 equity method income from limited partnership funds was $17.4 million, versus $4.8 million in FY2025 (p. 65).
  - FY2025 included the UGV goodwill impairment of $18.4 million and $4.3 million of accelerated intangible amortization (p. 33).
  - A California Labor Code class action settlement was accrued in FY2025 results, pending court approval (p. 56).
- **Revenue recognition:**
  - Contract estimates (cost-to-cost, variable consideration, cumulative catch-ups) are a critical audit matter (p. 76).
  - Net cumulative catch-up adjustments swung to $(2.6) million in FY2026 from $6.0 million in FY2025 and $5.4 million in FY2024 (p. 62).
  - FY2026 gross unfavorable catch-ups were $16.9 million across 25 contracts, including a $(3.1) million Cyber and Mission Solutions contract (p. 62).
  - FY2025 revenue benefited from $9.9 million of catch-ups on definitization of four LMS undefinitized contract actions (p. 62).
  - Forward loss reserves rose to $6.1 million from $0.1 million (p. 93).
  - The expected FY2027 shift of LMS to point-in-time recognition could change revenue timing (p. 61).
- **Working capital:**
  - FY2026 uses of cash: receivables $(128.7) million, unbilled receivables $(159.0) million and inventories $(111.6) million (p. 84).
  - Unbilled receivables and retentions were $570.4 million versus $290.0 million (p. 80).
  - Calculated DSO including unbilled was 164 days (versus 174), and calculated DIO was 77 days (versus 105). Both are elevated despite acquired mix (calc.; pp. 80, 81).
  - The inventory E&O reserve rose to $36.6 million from $28.7 million (p. 126).
  - A $100 million receivables purchase facility exists but was unused at April 30, 2026. Any future use would flatter operating cash flow (p. 71).
- **Auditor and material weaknesses:**
  - Deloitte (auditor since fiscal 2020) issued an unqualified opinion on the FY2026 financial statements (pp. 79, 129).
  - Deloitte issued an adverse opinion on ICFR as of April 30, 2026 (p. 129).
  - The two material weaknesses are ineffective goodwill impairment analysis controls and ineffective IT general controls at BlueHalo (p. 130).
  - The goodwill weakness caused an error that required restating the quarter ended January 31, 2026 (Form 10-Q/A filed June 22, 2026) (p. 128).

  - BlueHalo and ESAero (46% of total assets, 48% of revenue) were excluded from the ICFR assessment, so control coverage of the acquired business is untested (p. 129).
  - BlueHalo separately identified three material weaknesses for calendar 2024, one of which remained at April 30, 2026 (pp. 50, 51).
  - The CEO and CFO concluded disclosure controls were not effective (p. 127).
- **Goodwill risk:**
  - Space reporting unit goodwill of about $291 million remains after the impairment (p. 63).
  - BlueHalo and ESAero reporting units were recently recorded at fair value and are exposed to future impairment (p. 63).

7. LBO Inputs

Input	Value	Cite
Base-year revenue	FY2026 $1,976.8M; pro forma incl. ESAero $2,056.2M	(pp. 65, 116)
Base-year EBITDA (reported / adjusted)	GAAP EBITDA (calc.) $(46.0)M / total segment Adj. EBITDA $286.1M	(calc.; pp. 65, 81, 84)
D&A	$265.0M total; depreciation $35.8M per PP&E note vs. $41.9M per segment note; FY2027 est. intangible amortization $173.0M	(pp. 84, 101, 103, 122)
Capex (maintenance vs. growth, if split)	$62.5M per cash flow statement vs. $86.2M per segment note (the segment figure may include $23.7M of capitalized software to be sold); maintenance/growth split Not disclosed	(pp. 84, 125)
Capex commitment	Planned purchase of Huntsville, AL building for $16.3M (notice given May 2026)	(p. 71)
Net working capital (or change in NWC)	Change in operating assets and liabilities was $236.6M worse YoY; AR $(128.7)M, unbilled $(159.0)M, inventories $(111.6)M uses of cash	(pp. 72, 84)
Cash tax rate / effective tax rate	ETR 7.5% (FY2026) / 2.2% (FY2025); cash taxes paid $3.6M vs. $24.6M; federal NOLs $180.3M, potentially limited by Section 382	(pp. 67, 112, 113)
Existing debt: convertible notes	$747.5M 0% Convertible Senior Notes due July 15, 2030; conversion price ~$322.40; cash settlement required up to principal	(p. 35)
Existing debt: revolver	$350.0M commitment, undrawn; ~$336.8M available after $13.2M of LCs; maturity October 4, 2029	(pp. 35, 71, 74, 104)
Existing debt: Telerob line	€2.2M ($2.6M) drawn on a €9.0M line	(p. 71)
Cash	Cash $377.3M + short-term investments $255.0M = $632.3M (calc.); long-term investments $81.1M	(calc.; pp. 80, 84)
Other debt-like items	Operating lease liabilities (PV) $105.8M; purchase obligations $680.2M, of which $662.7M due within one year	(pp. 73, 107)
Shares	50,608,030 shares outstanding at June 24, 2026; closing price $142.18 that day	(pp. 56, PDF 1)
Management projections	Not disclosed (annual report). Only forward indicator: ~85% of backlog expected to convert in FY2027	(p. 11)

8. Key Risks

1. **Cash generation does not track Adjusted EBITDA.** Operating cash flow was $(78.4) million in FY2026 and calculated FCF was $(140.9) million despite $286.1 million of Adj. EBITDA, so EBITDA-based debt capacity may be overstated (calc.; pp. 65, 72, 84).

2. **Unreliable financial reporting.** An adverse ICFR opinion, a restated quarter, and the exclusion of 48% of revenue from ICFR testing mean the numbers themselves need independent QoE verification (pp. 127, 128, 129).
3. **The SCDE / Space thesis is impaired.** SCAR's termination drove a $240.7 million impairment, SCDE Adjusted EBITDA was $(2.6) million, and about $291 million of Space goodwill remains at risk (pp. 63, 67, 68).
    - Management says Space now needs higher R&D and capital investment to commercialize (p. 102).
4. **Litigation and compliance overhang.**
    - A securities class action filed May 26, 2026 alleges misleading SCAR disclosures (p. 55).
    - The ongoing cybersecurity/SPRS investigation could, under CMMC rules, lead to penalties or suspension/debarment (p. 45).
5. **Government funding concentration and volatility.** The U.S. government is 85% of revenue, contracts are terminable at will, and funding relies partly on operational needs statements, so a budget or DOGE-driven cut flows directly to revenue (pp. 17, 18, 87).
6. **Volatile demand linked to specific conflicts.** International share fell from 62% to 28% in two years and Ukraine revenue dropped sharply, so legacy demand depends on episodic conflict-driven orders (p. 125).
7. **Convertible note cash call.** Conversions must be settled in cash up to principal, which could require significant cash outlays and harm liquidity. Conditions before April 15, 2030 are largely outside the company's control (pp. 35, 37).
8. **Supply chain exposure to China.** Most rare earth metals come from China, which has sanctioned the company and placed it on its export control list. Memory component pricing is also volatile (p. 25).

9. Consistency Check

Narrative claim	Cite	What the numbers show	Cite	Flag
Risk factors put goodwill at $2,583.1 million as of April 30, 2026. Management separately discloses a goodwill error in the Space impairment analysis, caused by a newly identified material weakness: there was no control requiring a reconciliation of goodwill by reporting unit.	(pp. 51, 128)	The audited balance sheet and goodwill note show goodwill of $2,493,678 thousand (AxS $1,284,446 thousand; SCDE $1,209,232 thousand). The $2,583.1 million in the risk factor matches neither.	(pp. 34, 80, 101)	**Inconsistent.** The same balance is stated at two different values in one filing. The control failure is specifically about reconciling goodwill by reporting unit, and the Q3 10-Q was restated, so the gap may be a stale pre-restatement figure. Either way it affects confidence in the impairment headroom and carrying values.
Critical accounting estimates state that the FY2026 and FY2025 effective tax rates were below the 21% statutory rate, primarily due to the R&D credit, excess stock compensation benefits and the FDII deduction.	(p. 60)	FY2026 had a pre-tax loss with a $(23,059) thousand benefit, for a 7.5% effective rate. The reconciliation shows no FDII benefit in FY2026; FDII was $(7,830) thousand in FY2025 only. The dominant reconciling item was non-deductible goodwill impairment of $44,438 thousand, or -14.5% of the rate. R&D credits were $(8,290) thousand. The MD&A itself attributes the rate to the non-deductible impairment and lower FDII.	(p. 111)	**Inconsistent.** FDII cannot have driven the FY2026 rate because it was zero. On a loss year, a 7.5% benefit rate means less tax benefit, and that is driven by the impairment, not by credits and FDII. The critical-estimates text contradicts both the tax reconciliation and the MD&A.

Narrative claim	Cite	What the numbers show	Cite	Flag
MD&A states FY2025 included $12.0 million of favorable cumulative catch-up revenue adjustments from definitization of certain LMS contracts.	(pp. 62, 68)	The revenue note shows gross favorable cumulative catch-up adjustments of only $11,106 thousand in total for FY2025. The note's LMS items alone are $9,870,000 from UCA definitization and $2,177,000 from unpriced change orders. FY2025 reported revenue growth was 14.5%.	(calc.; pp. 62, 81, 93)	**Inconsistent.** A $12.0 million LMS-only favorable catch-up cannot fit inside a total gross favorable figure of $11.1 million. Either the note's gross total or the MD&A attribution is wrong. This matters because contract-estimate accounting is a critical audit matter.
MD&A compares FY2026 capex of $62.5 million with FY2025 capex of $22.8 million.	(p. 72)	The cash flow statement shows property and equipment purchases of $62.5M (FY2026) and $19.5M (FY2025). It also shows a separate investing outflow for capitalized software to be sold of $23.7M (FY2026) and $3.3M (FY2025); that balance rose to $27.4M. The segment note shows capex of $86.2M (FY2026) and $22.8M (FY2025). The FY2025 MD&A figure matches the segment basis, which appears to include capitalized software. The FY2026 MD&A figure matches the PP&E-only cash flow line. Calculated FCF of $(140.9)M uses PP&E only and excludes the $23.7M of software spend.	(calc.; pp. 84, 88, 125)	**Inconsistent.** The MD&A year-over-year capex comparison appears to mix two definitions: segment basis for FY2025 and PP&E-only for FY2026. That understates FY2026 capital intensity, and on either basis FCF is worse than the $(140.9)M PP&E-only figure. This extends the capex discrepancy already flagged by identifying the likely cause, and the reconciling item is growing fast.
MD&A attributes the FY2026 cost increases to 'intangible amortization': $126.4M in SG&A, plus $66.2M and $7.1M in cost of sales. The segment note labels $223.1M as intangible amortization and other purchase accounting.	(pp. 66, 67)	The intangibles note reports total FY2026 amortization expense of $204.0M, consistent with accumulated amortization moving from $137.2M to $341.7M. The BlueHalo acquisition note says BlueHalo's loss includes $208.5M of intangible amortization. Legacy AV amortization was $23.4M in FY2025, and ESAero added $1.1M in FY2026. The segment total is $223.1M.	(pp. 100, 116, 118, 122)	**Inconsistent.** BlueHalo's stated intangible amortization ($208.5M) exceeds the company's total intangible amortization ($204.0M), even though legacy and ESAero intangibles were also amortizing. The likely cause is that some non-amortization purchase accounting is labelled 'intangible amortization' in the BlueHalo note and MD&A. That item feeds directly into Adjusted EBITDA add-backs, so the split needs to be confirmed.
Approximately 85% of backlog is expected to be recognized as revenue in FY2027. Second-half revenue is expected to exceed first-half revenue again in FY2027.	(pp. 10, 11)	The 85% in the revenue note applies to remaining performance obligations of $1,176,192,000. Reported backlog is funded $1,183.0 million plus unfunded $1,457.7 million, for $2,640.7 million in total. Funded backlog covers only 0.60x of FY2026 revenue, down from 0.89x. Total backlog coverage is 1.34x.	(calc.; pp. 11, 81, 92)	**Needs explanation.** The business section applies 85% conversion to 'backlog' without saying it means funded backlog/RPO rather than total backlog. Most total backlog is unfunded and not covered by that conversion rate. Funded coverage has also fallen sharply, which weakens near-term revenue visibility.
Management states that cash, operating cash flow and financing will be sufficient for working capital and capex. It attributes the 97% rise in AxS segment adjusted EBITDA to $288.7 million mainly to higher revenue.	(pp. 68, 71, 72)	Free cash flow was $(140.9) million in FY2026 and $(20.9) million in FY2025, so FCF/Adj. EBITDA was -49.3%. Working capital absorbed cash: accounts receivable $(128,697) thousand, unbilled receivables $(158,980) thousand and inventories $(111,610) thousand. DSO including unbilled receivables is 164 days.	(calc.; pp. 65, 80, 81, 84)	**Needs explanation.** Strong adjusted EBITDA growth is not turning into cash. This is the second straight year of negative FCF. Liquidity rests on the July 2025 equity and convert raise, not on operations, and management does not explain when unbilled receivables and inventory will convert.

Narrative claim	Cite	What the numbers show	Cite	Flag
Segment Adjusted EBITDA excludes acquisition-related expenses and items described as 'one-time' non-operating items such as legal expense. Management also describes acquisitions as a regular method of obtaining capabilities.	(pp. 7, 65)	Acquisition-related add-backs recur every year: $1.9 million in FY2024 (Tomahawk), $19.3 million in FY2025 and $48.2 million in FY2026. A legal add-back of $2.1 million was taken in FY2025. Total add-backs were $332.0 million in FY2026. Excluding the impairment, add-backs equal 31.9% of Adj. EBITDA.	(calc.; pp. 65, 81, 84, 118, 120, 122, 123)	**Needs explanation.** For a serial acquirer, acquisition costs that recur and grow are arguably an operating cost, not a one-time item. Nearly a third of Adj. EBITDA comes from non-impairment add-backs, which matters for valuation multiples.
Gross margin fell from 39% to 25% because of higher amortization and purchase accounting and a higher service mix from BlueHalo. Risk factors warn that a shift toward cost-plus contracts would reduce operating margin. Fixed-price is described as about 70% of revenue.	(pp. 26, 27, 66)	Cost-plus revenue rose to 23.0% of revenue from 8.3%. T&M rose to 7.0% from 0.8%. Fixed-price fell to 70.0% from 90.9%. Calculated gross margin fell to 25.3% from 38.8%.	(calc.; pp. 81, 94)	**Needs explanation.** The exact shift the risk factor warns about has already happened. Yet the margin explanation calls it 'service mix' and does not address the structurally lower-margin contract types. Diligence should separate amortization from a permanent margin reset.
MD&A attributes the FY2025 gross margin decline from 40% to 39% mainly to $4.6 million of accelerated UGV intangible amortization.	(pp. 68, 69)	The intangibles and impairment notes put UGV accelerated intangible amortization at $4,258,000 ($4.3 million). Calculated FY2025 gross margin was 38.8%.	(calc.; pp. 81, 89, 101)	**Needs explanation.** The same charge is reported as $4.6 million in MD&A and $4.3 million in the notes. The gap is small, but the cause is unexplained; it could be that only part of the charge sits in cost of sales, or that other items are included.
BlueHalo 'significantly enhanced' core capabilities. SCDE revenue of $618.8M came entirely from BlueHalo. Extra Space R&D and capex is expected to 'improve long-term product margins', and Space long-lived assets passed recoverability.	(pp. 9, 59, 63, 68, 102, 116)	SCDE segment adjusted EBITDA was $(2.6)M on $618.8M of revenue, a -0.4% margin, versus 21.3% for AxS. BlueHalo posted a $(365.5)M operating loss, including $208.5M of intangible amortization and a $240.7M goodwill impairment. The Space unit still carries about $291M of goodwill. Merger consideration was $3,484.9 million net of cash.	(calc.; pp. 65, 90, 118)	**Needs explanation.** MD&A explains SCDE revenue only as acquisition-driven and gives no explanation for SCDE earning roughly zero even after all add-backs. That undercuts the strategic framing of a ~$3.5B deal and the margin-improvement thesis behind the remaining $291M of Space goodwill.
Management describes its revenue-recognition judgments and estimates as applied consistently and historically reliable.	(pp. 60, 62, 76, 128)	Net cumulative catch-up adjustments swung from +$6.0M in FY2025 to $(2.6)M in FY2026. Unfavorable catch-ups were $16.9M across 25 contracts. Forward loss reserves rose from $0.1M to $6.1M, including $3.9M on a single IAMD contract. Contract estimates are a critical audit matter, and Q3 FY2026 financials were restated.	(pp. 62, 93)	**Needs explanation.** The 'historically reliable' characterization reflects legacy-AV history. The FY2026 data, half of which comes from newly acquired BlueHalo contracts outside the ICFR scope, show deteriorating estimate outcomes and new loss contracts.
Capital expenditures (purchases of property and equipment) were $62.5 million in FY2026 and $22.8 million in FY2025.	(p. 72)	Capital expenditures were $86,218 thousand in FY2026 (AxS $50,780, SCDE $29,380, Corporate $6,058).	(p. 125)	**Needs explanation.** Code check: the same line item (Capex, FY2026) is stated with values that differ by $23.7M (calc.), more than rounding allows. Confirm which figure is right: a typo, a restatement, or a different definition.

Narrative claim	Cite	What the numbers show	Cite	Flag
SG&A expense was $443.0 million, or 22% of revenue	(p. 66)	SG&A was $443,251 thousand in FY2026.	(p. 65)	**Needs explanation.** Code check: the same line item (SG&A, FY2026) is stated with values that differ by $0.3M (calc.), more than rounding allows. Confirm which figure is right: a typo, a restatement, or a different definition.

10. Questions for Management

Financial

1. Provide a full bridge from GAAP operating income to the $286.1 million total segment Adjusted EBITDA, including every purchase accounting and "one-time" item. The disclosed add-backs do not obviously tie to the calculated total (calc.; pp. 65, 81, 84).
2. What is normalized FCF for the combined business? How much of the $(128.7) million receivables, $(159.0) million unbilled and $(111.6) million inventory build reverses in FY2027 (p. 84)?
3. Why are acquisition-related expenses ($48.2 million in FY2026, $19.3 million in FY2025) treated as non-recurring given the company's ongoing acquisition program (pp. 122, 123)?
4. Why is the cloud computing implementation amortization add-back justified, given capitalized cloud costs of $46.2 million? Why did capitalized software to be sold rise to $27.4 million (p. 88)?
5. Reconcile FY2026 capex of $62.5 million (cash flow statement) with $86.2 million (segment note), and depreciation of $35.8 million (PP&E note) with $41.9 million (segment note) (pp. 84, 103, 122, 125).
6. Reconcile goodwill of $2,583.1 million cited in the narrative with $2,493.7 million on the balance sheet. Does the difference relate to the restated goodwill carrying value error (pp. 34, 51, 80)?
7. What is the split of capex between maintenance and growth, and what capacity expansion is planned with the offering proceeds (maintenance/growth split not disclosed) (p. 70)?
8. Provide management projections and FY2027 guidance by segment, which are not included in the annual report.
9. What is the Section 382 limitation on the $180.3 million of federal NOLs, and what is the expected cash tax rate under OBBBA R&D expensing (pp. 26, 112)?
10. What are the timeline and cost to remediate the goodwill-control and BlueHalo IT general control material weaknesses? What did the January 31, 2026 quarter restatement change (pp. 128, 130)?

Customers & Contracts

11. Provide revenue by top-10 customer and program, which is not disclosed.
12. Provide the prime vs. subcontractor revenue split, which is not disclosed.
13. Provide book-to-bill by segment for FY2025 and FY2026, which is not disclosed.
14. Provide the recompete and expiration schedule for the largest contracts, which is not disclosed.
15. What revenue and backlog did SCAR/BADGER represent, and what is the plan for the Space unit after termination (pp. 34, 102)?
16. How was funded backlog of $1,183.0 million derived relative to remaining performance obligations of $1,176.2 million, and what explains the decline in funded backlog coverage (calc.; pp. 11, 81, 92)?
17. What is the expected revenue-timing impact when LMS moves to point-in-time recognition on receipt of a DCS contract in FY2027 (p. 61)?
18. How much of the legacy LMS/Switchblade growth is tied to specific conflicts or resupply, and what is the outlook for international SUAS sales (pp. 66, 68)?

19. What is SCDE's path to positive Adjusted EBITDA from $(2.6) million, and how will the May 1, 2026 move of Autonomous R&D into SCDE affect segment reporting (pp. 65, 68)?

Operations

20. What is the current headcount holding security clearances (not disclosed)?
21. What is the status and potential exposure of the Legacy AV cybersecurity/SPRS investigation, and what CMMC level does each business hold (pp. 45, 54)?
22. How is rare earth supply being diversified given China's sanctions and export control listing (p. 25)?
23. What drove the forward loss reserve increase to $6.1 million, including the $3.9 million IAMD contract (p. 93)?

Other

24. What is the addressable market size by segment (not disclosed)?
25. What triggers early conversion of the $747.5 million notes (for example, fundamental change provisions), and how would a change of control affect cash settlement (pp. 35, 37)?
26. Why did both Arlington-nominated directors resign, and what are Arlington's intentions for its 26.3% stake (pp. 48, 49)?
27. What is the status of the May 26, 2026 securities class action, and are any other SCAR-related claims expected (p. 55)?
28. What drove the CFO transition, and are key executives subject to retention arrangements, given the company has no executive employment agreements (pp. 27, 134)?

APPENDIX: COVERAGE NOTES

- Citations use printed page numbers (PDF page = printed page + 1).
- MD&A narrative pass covers MD&A, pp. 58-74.
- 138 of 138 PDF pages had extractable text and were analyzed.
- 1045 findings verified against the source; 28 rejected (quote or number not found on the cited page). See rejected.json.
- 9 memo lines deleted by the citation check (no valid citation or unsupported number). See citation_log.md.